

Figure 16.4 Stored value card

Like a credit card or debit card it is a plastic and has a magnetic strip on its back. The magnetic strip stores the monetary value of the card. Stored value cards may not have the card holder's name always. It is also indistinguishable from a regular credit or debit card in appearance. What look like a credit card or debit card act like a credit or debit card. It is used to make purchases offline and online in the same way as in credit card or debit card.

There are two varieties for stored value card.

1. **Closed loop (single purpose)**

   In closed loop cards, money is metaphorically stored on the card in the form of binary-coded data. Closed loop cards are issued by a specific merchant or merchant group and can only be used to make purchases from specific place. e.g. chennai metro rail travel card.

2. **Open loop (multipurpose)**

   Open loop cards can be used to make debit transaction at variety of retailers. It is also called as prepaid-debit cards. It can be used anywhere the branded cards are accepted. e.g. Visa gift cards.

DO YOU KNOW?

In some countries it is legal for anyone to enter or leave the country with money that is stored on cards, unlike carrying cash in high amounts which is believed a form of money laundering.

16.3.4 Smart card

The modern version of card based payment is smart cards. Smart cards along with the regular features of any card based payment system holds a EMV chip. This chip is similar to well-known sim card in appearance but differ in its functionalities. The advantage of Smart cards is that it can provide identification, authentication, data storage and application processing. Smart cards can be classified into Contact smart cards and Contactless smart cards. See Figure 16.5



Figure 16.5 Contact Smart card & POS

1. **Contact smart cards**

   Contact smart cards have a contact area of approximately 1 square centimeter, comprising several gold-plated contact pads. These pads provide electrical connectivity only

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